

SENATE BILL 41

By Haile

AN ACT to amend Tennessee Code Annotated, Title 7;
Title 47 and Title 65, relative to consumer billing.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 47, Chapter 18, Part 1, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Billing cycle" means the defined period of time between billing statements or invoices on which a consumer's payment amount for services is based under an agreement or contract for covered services;

(2) "Covered services" means telephone, cable television, internet, broadband services, or any combination of such services; and

(3) "Service provider" means an entity, whether a for-profit, nonprofit, or government entity, that provides covered services to consumers for a fee.

(b) On and after July 1, 2025, if a consumer terminates an agreement or contract for covered services pursuant to the terms of the agreement or contract, then:

(1) If the date of termination occurs within the first half (1/2) of a billing cycle, then the service provider may only bill the consumer for the remainder of that billing cycle and shall not bill the consumer for any subsequent billing cycle; and

(2) If the date of termination occurs within the second half (1/2) of a billing cycle, then the service provider may bill the consumer for the remainder of that billing cycle and up to one (1) subsequent billing cycle.

(c) This section does not prohibit a service provider from including in a service agreement or contract a term or period of minimum duration.

(d) A violation of this section constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in this part. A violation of this section constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in this part.

SECTION 2. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following new subdivision:

() A violation of SECTION 1.

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it.